STERLING COMMERCIAL BANK PLC

Restructuring & Recoveries | 1 King William Street, London EC4N 7AF

Strictly Private & Confidential — By email and recorded delivery

7 November 2025

The Directors
Pennington Industries Limited
Pennington House, Foundry Road, Sheffield S9 1XH

Dear Sirs

Facilities agreement dated 14 March 2022 — Reservation of rights

We refer to the facilities agreement dated 14 March 2022 (the "Facilities Agreement") between, among others, Pennington Industries Limited (the "Company") and Sterling Commercial Bank plc (the "Bank"), comprising a £30,000,000 term loan (Facility A) and a £12,000,000 revolving credit facility (the RCF). Terms defined in the Facilities Agreement have the same meaning in this letter.

We have reviewed the compliance certificate delivered for the test period ended 30 September 2025. That certificate confirms that, at the September 2025 test date, net leverage was 4.80x against the covenant of 3.50x, interest cover was 2.10x against the covenant of 3.00x, and consolidated liquidity was £3.1m against the minimum of £4.0m. Each of these is a breach of clause 23 (Financial covenants) and constitutes an Event of Default under clause 24 of the Facilities Agreement.

This letter is to notify you that the Bank is aware of these Events of Default. The Bank expressly reserves all of its rights, powers and remedies under the Facilities Agreement, the Transaction Security and at law, including the right to accelerate the Facilities, to demand immediate repayment, and to enforce the Transaction Security. No failure or delay by the Bank in exercising any such right operates as a waiver, and nothing in this letter or in any subsequent discussions constitutes a waiver of the Events of Default or any amendment to the Facilities Agreement.

The Bank is, however, willing to discuss a consensual resolution. We require the Company to (i) appoint an independent business reviewer acceptable to the Bank within 10 Business Days; (ii) provide a rolling 13-week cashflow forecast; and (iii) refrain from any payments to shareholders or connected parties. We suggest a meeting in the week commencing 17 November 2025 and ask that the Company's advisers contact the writer to arrange this.

Yours faithfully,

Gavin Ross
Director, Restructuring & Recoveries
For and on behalf of Sterling Commercial Bank plc